

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 722

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-405, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE ASSESSMENT OF OPERATING PROPERTY; AMENDING SECTION 63-3502B, IDAHO CODE, TO REVISE A PROVISION REGARDING THE LEVY OF TAX ON CERTAIN ELECTRICAL PRODUCTION AND RATE-REGULATED ELECTRIC UTILITY COMPANIES, RATE-REGULATED AFFILIATED GAS COMPANIES, AND RATE-REGULATED GAS COMPANIES; AMENDING SECTION 63-3503C, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE CALCULATION, COLLECTION, ALLOTMENT, AND APPORTIONMENT OF TAX DUE FROM RATE-REGULATED ELECTRIC UTILITY COMPANIES, RATE-REGULATED AFFILIATED GAS COMPANIES, AND RATE-REGULATED GAS COMPANIES BY THE STATE TAX COMMISSION AND TO ESTABLISH THE RATE-REGULATED TAX FUND; AND DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-405, Idaho Code, be, and the same is hereby amended to read as follows:

63-405. ASSESSMENT OF OPERATING PROPERTY. (1) The state tax commission must assess taxable operating property at a meeting of the commission convening on the second Monday of August in each year and must complete the assessment of such property on the fourth Monday in August.

(2) The state tax commission shall determine the system value and calculate the allocation and apportionment of the system value for taxable operating property and specifically determine:

(a) The number of miles and the value per mile of each railroad in the state and for each taxing district in which such railroad may exist.

(b) The number of miles and the value per mile of each telephone corporation in the state and for each taxing district in which such telephone corporation may exist.

(c) The number of miles and the value per mile of each pipeline in the state and for each taxing district in which such pipeline may exist.

(d) The number of miles and the value per mile of each water company under the jurisdiction of the public utilities commission in the state and for each taxing district in which such water company may exist. The value per mile of any line included in this subsection, except railroads, shall be determined by dividing the total value of such line within the state by the number of miles of such line within the state. The value per mile of railroad line shall be determined by apportionment of the total value of line within the state. The apportionment shall be based twenty percent (20%) on the ratio of line miles in the state to line miles in the county; forty percent (40%) on the ratio of net ton miles in the state to net ton miles in the county; and forty percent (40%) on the ratio of station revenues in the state to station revenues

1 in the county. All operating property of railroads shall be apportioned
2 to the counties as part of the railroad line in the county. The appor-
3 tionment for taxing districts shall be the same as the apportionment
4 among counties.

5 (e) The system value of private railcar fleets entering or standing in
6 Idaho in the year preceding the constituted lien as provided in section
7 63-411(3), Idaho Code.

8 (f) The system value and calculate the allocation and apportionment of
9 the system value for all other taxable operating property.

10 (3) For rate-regulated electric utility companies, rate-regulated
11 affiliated gas companies, and rate-regulated gas companies subject to tax-
12 ation as provided in section 63-3502B(3) or (4), Idaho Code, the state tax
13 commission shall determine the amount of such tax to be apportioned to each
14 county separately in proportion to the property tax levied by all eligi-
15 ble taxing districts and units and amounts allocated to each urban renewal
16 agency statewide in tax year 2025 on the operating property of rate-regu-
17 lated electric utility companies, rate-regulated affiliated gas companies,
18 and rate-regulated gas companies. The 2025 property tax amounts levied
19 or allocated shall be certified by each county auditor to the state tax
20 commission no later than January 12, 2026. The state tax commission shall
21 calculate proportions by dividing the total amount so reported for each
22 county by the sum of all such amounts for all eligible taxing districts and
23 units and urban renewal agencies statewide. Taxing districts, units, and
24 urban renewal agencies are eligible for a proportion of this tax and are
25 included in the calculation of these proportions, provided they levied prop-
26 erty tax against the operating property of rate-regulated electric utility
27 companies, rate-regulated affiliated gas companies, and rate-regulated gas
28 companies or received an allocation of property tax paid by such companies
29 for tax year 2025. In the event that a taxing district or unit or urban re-
30 newal revenue allocation area dissolves or is no longer present in a county,
31 or a voter approved bond expires, the proportions for each taxing district in
32 each affected county shall be changed as follows:

33 (a) The state tax commission shall reapportion the kilowatt-hour and
34 thermal energy tax revenue that would have accrued to the dissolving
35 district or revenue allocation area or expiring voter approved bond.
36 The reapportioned tax shall be distributed to each otherwise eligible
37 taxing district and revenue allocation area in the county with bound-
38 aries that overlapped the dissolved district or revenue allocation area
39 or expired voter approved bond. The proportionate share for each taxing
40 district and revenue allocation area shall be determined by dividing
41 the current distribution to that district and revenue allocation area
42 by the total distribution to all districts and revenue allocation areas
43 that overlap the dissolving district or revenue allocation area.

44 (b) Such reapportionment shall be made in the year immediately follow-
45 ing the year of the dissolution or expiration and the county auditor
46 shall be notified of the changed proportions no later than the first
47 Monday in March of that year.

48 (c) The proportions used to determine the amount of kilowatt-hour tax
49 and thermal energy tax to be billed to rate-regulated electric utility
50 companies, rate-regulated affiliated gas companies, and rate-reg-

ulated gas companies and payable to each county pursuant to section 63-3503C(2), Idaho Code, shall not change.

(4) ~~At least once~~ Once every five (5) years, commencing with the five (5) year period beginning January 1, 2026, the state tax commission shall examine and verify the investment of each rate-regulated electric utility company, rate-regulated affiliated gas company, and rate-regulated gas company in each county and shall submit a report to the legislature that details each county's investment in relation to the total statewide investment. On or before January 31 of the year in which the state tax commission requires such report for the applicable five (5) year period, the state tax commission shall notify each rate-regulated electric utility company, rate-regulated gas company, and rate-regulated affiliated gas company of the requirement to submit the report by April 15 of that year for the investment in each county as of the end of the preceding calendar year.

(5) If the value of property of any company assessable under this section is of such a nature that it cannot reasonably be apportioned on the basis of rail, wire, and pipeline mileage, such as microwave and radio relay stations, the tax commission may adopt such other method or basis of apportionment to the county and taxing districts in which the property is situate as may be feasible and proper.

(6) Any departure from market value in an assessment of operating property made to ensure compliance with federal law or precedent shall be considered an exemption. The state tax commission shall identify such departures from market value in their appraisals and no application need be made by a taxpayer to receive such exemption.

SECTION 2. That Section 63-3502B, Idaho Code, be, and the same is hereby amended to read as follows:

63-3502B. LEVY OF TAX ON WIND ENERGY PRODUCTION, SOLAR ENERGY PRODUCTION, GEOTHERMAL ENERGY ELECTRICAL PRODUCTION, RATE-REGULATED ELECTRIC UTILITY COMPANIES, RATE-REGULATED AFFILIATED GAS COMPANIES, AND RATE-REGULATED GAS COMPANIES. (1) A wind energy tax or a geothermal energy tax shall be levied against every producer of electricity by means of wind energy or geothermal energy in the amount of three percent (3%) of such producer's gross wind energy earnings or geothermal energy earnings.

(2) A solar energy tax shall be levied against every producer of electricity by means of solar energy in the amount of three and one-half percent (3.5%) of the producer's gross solar energy earnings.

(3) A kilowatt-hour tax shall be levied against every rate-regulated electric utility company operating in Idaho on all such electricity and electrical energy sold to retail customers in Idaho, as reported by such company to the Idaho public utilities commission; however, if such a report contains kilowatt-hour sales data for another state, the kilowatt-hour tax established under this section shall not be applied to those out-of-state sales. The kilowatt-hour tax shall be nine hundred twenty-three millionths of a dollar (\$0.000923) per kilowatt-hour sold.

(4) (a) A thermal energy tax shall be levied against every rate-regulated affiliated gas company on all natural gas sold to retail customers in Idaho at a rate of ten thousand eight hundred two millionths of a dollar (\$0.010802) per therm of natural gas sold.

(b) A thermal energy tax shall be levied against every rate-regulated gas company on all natural gas sold to retail customers in Idaho at a rate of three hundred twenty-nine hundred-thousandths of a dollar (\$0.00329) per therm of natural gas sold. A separate thermal energy tax shall be levied against every rate-regulated gas company on all natural gas delivered to a transport gas customer at a rate of forty-one hundred-thousandths of a dollar (\$0.00041) per therm of natural gas delivered to a transport gas customer by a rate-regulated gas company. For the purposes of this subsection, "transport gas customer" means an entity that purchases gas from a supplier other than a rate-regulated gas company but that contracts with a rate-regulated gas company to deliver gas to its meter.

(5) The wind energy tax, solar energy tax, geothermal energy tax, kilowatt-hour tax, and thermal energy tax provided in this section shall be in lieu of all other taxes on the property of such wind energy producer, solar energy producer, geothermal energy producer, rate-regulated electric utility company, rate-regulated affiliated gas company, or rate-regulated gas company exempted pursuant to section 63-602JJ, Idaho Code.

(6) For purposes of the certification required by section 63-803, Idaho Code, and the limitations provided by section 63-802, Idaho Code, the taxes levied pursuant to subsection (2) of this section shall reduce the property tax to be levied to finance an annual budget and shall not be included in the amount of property tax revenues to finance an annual budget for purposes of limitations on increases in the annual budget as provided in section 63-802, Idaho Code. ~~Kilowatt-hour~~ Estimated kilowatt-hour taxes and estimated thermal energy taxes apportioned to each taxing district pursuant to section 63-3503C, Idaho Code, shall be treated as property tax revenue for the purposes of the limitations provided in section 63-802, Idaho Code.

(7) By January 1, 2027, rate-regulated electric utility companies, rate-regulated affiliated gas companies, and rate-regulated gas companies shall include the kilowatt-hour and thermal energy tax on the billings to its Idaho customers. The public utilities commission shall adjust the base tariff rates for customers to the extent those rates included a recovery of property taxes on operating property or the kilowatt-hour taxes or thermal energy taxes assessed pursuant to this section.

SECTION 3. That Section 63-3503C, Idaho Code, be, and the same is hereby amended to read as follows:

63-3503C. CALCULATION, COLLECTION, ALLOTMENT, AND APPORTIONMENT OF TAX FROM RATE-REGULATED ELECTRIC UTILITY COMPANIES, RATE-REGULATED AFFILIATED GAS COMPANIES, AND RATE-REGULATED GAS COMPANIES BY STATE TAX COMMISSION -- RATE-REGULATED TAX FUND.

(1) (a) On or before April 15 of each year beginning in 2026, every rate-regulated electric utility, rate-regulated affiliated gas company, and rate-regulated gas company in this state shall file with the state tax commission a statement of the amount of its kilowatt-hours and therms sold as described in section 63-3502B(3) and (4), Idaho Code, for the preceding year, and for rate-regulated electric utilities, the amount of kilowatt-hours sold during the preceding year for furnishing power

1 for pumping water for irrigation or drainage purposes, as provided by
2 section 63-3502C, Idaho Code.

3 (b) ~~Beginning on January 1, 2027, and on~~ On or before April 15 September
4 15 of each year ~~thereafter~~ beginning in 2026, every rate-regulated
5 electric utility, rate-regulated affiliated gas company, and rate-reg-
6 ulated gas company in this state shall file with the state tax com-
7 mission a statement of the amount of its kilowatt-hours and therms
8 sold in Idaho for the preceding calendar year as described in section
9 63-3502B(3) and (4), Idaho Code, for the six (6) months of January
10 through June of the current year, and for rate-regulated electric util-
11 ities, the amount of kilowatt-hours sold ~~the preceding year~~ during such
12 six (6) month period for furnishing power for pumping water for irriga-
13 tion or drainage purposes, as provided by section 63-3502C, Idaho Code.
14 The rate-regulated electric utilities, rate-regulated affiliated gas
15 company, and rate-regulated gas companies shall also provide such
16 information as shall be necessary for the state tax commission to re-
17 determine the allocations of the tax as required in section 63-405(4),
18 Idaho Code. Upon examining and verifying such statement, the state tax
19 commission shall compute the amount of the tax due for the period Jan-
20 uary through June of the current year using the rates found in section
21 63-3502B(3) and (4), Idaho Code, and reduced as provided in section
22 63-3502C, Idaho Code, for rate-regulated electric utilities eligible
23 for such exemption. Such tax shall be billed by the state tax commission
24 to each rate-regulated electric utility, rate-regulated affiliated gas
25 company, and rate-regulated gas company no later than the first Monday
26 of November and shall be due and payable to the state tax commission no
27 later than December 20. Upon receipt of such tax payments, the state tax
28 commission shall promptly pay to each county treasurer the proportion-
29 ate share of such taxes due to the county as provided in this section,
30 and the county treasurer shall pay such amounts to eligible taxing
31 districts, units, and urban renewal agencies as also provided in this
32 section.

33 (c) On or before April 15 of each year beginning in 2027, every
34 rate-regulated electric utility, rate-regulated affiliated gas com-
35 pany, and rate-regulated gas company in this state shall file with the
36 state tax commission a statement of the amount of its kilowatt-hours and
37 therms sold as described in section 63-3502B(3) and (4), Idaho Code,
38 for the six (6) months of July through December of the preceding cal-
39 endar year, and for rate-regulated electric utilities, the amount of
40 kilowatt-hours sold for the six (6) months of July through December of
41 the preceding year for furnishing power for pumping water for irriga-
42 tion or drainage purposes, as provided by section 63-3502C, Idaho Code.
43 The rate-regulated electric utilities, rate-regulated affiliated gas
44 companies, and rate-regulated gas companies shall also provide such
45 information as shall be necessary for the state tax commission to comply
46 with the requirements of section 63-405(4), Idaho Code, for any year in
47 the applicable five (5) year period in which the filing of such infor-
48 mation is required by that section. Upon examining and verifying such
49 statement, the state tax commission shall compute the amount of the tax
50 due for the period July through December of the preceding year, commenc-

ing with 2026, using the rates provided in section 63-3502B(3) and (4), Idaho Code, and reduced as provided in section 63-3502C, Idaho Code, for rate-regulated electric utilities eligible for such exemption. Such tax shall be billed by the state tax commission to each rate-regulated electric utility, rate-regulated affiliated gas company, and rate-regulated gas company no later than the first Monday of June and shall be due and payable to the state tax commission no later than June 20. Upon receipt of such tax payments, the state tax commission shall promptly pay to each county treasurer the proportionate share of such taxes due to the county as provided in this section, and the county treasurer shall pay such amounts to eligible taxing districts, units, and urban renewal agencies as also provided in this section.

(2) ~~Upon the calculation of taxes determined in this section, and By~~ no later than the ~~third first~~ Monday of ~~May~~ July of each year, the state tax commission shall estimate the taxes that will be payable for the current calendar year by taxpayers subject to this section, using the information from the preceding year provided by the taxpayers in the April 15 statements required pursuant to subsection (1) (a) of this section, or by other information available to the state tax commission. The state tax commission shall then notify each county treasurer and county auditor of the amount of estimated taxes due to the county and each taxing district, unit, and urban renewal agency located within the county based on the proportions calculated pursuant to section 63-405(3) and (4), Idaho Code. Such tax shall be billed by the state tax commission to each rate-regulated electric utility company, rate-regulated affiliated gas company, and rate-regulated gas company no later than the fourth Monday of May and due and payable to the state tax commission no later than June 30. Upon receipt of such tax payments, the state tax commission shall promptly pay to each county treasurer the proportionate share of such taxes due to the county as provided in this section.

(3) By no later than the ~~fourth first~~ Monday of ~~July~~ August each year, each county auditor shall notify each taxing district, unit, and urban renewal agency of the estimated amount they will receive. By the fourth Monday of August, such amounts will be paid based on the calculations provided in subsection (2) of this section. Such estimated amount shall be treated as property tax revenue for the purposes of the certification required by section 63-803, Idaho Code, and the limitations provided by section 63-802, Idaho Code. Amounts received by each county will be distributed by the county auditor to each eligible taxing district, unit, and urban renewal agency in the same manner as property tax.

(4) A new taxing district or revenue allocation area formed after January 1, 2025, shall not be eligible for a tax distribution pursuant to this section.

(5) If any taxing districts consolidate, the resulting district is entitled to a tax distribution pursuant to this section equal to the sum of the tax distributions that would have been made to each district prior to consolidation.

(6) Any taxes levied pursuant to this section and not paid by ~~June 30~~ the due dates provided in subsection (1) of this section shall become delinquent and a penalty of five percent (5%) thereof shall be imposed, together with

1 interest at the rate of one percent (1%) per month from ~~June 30~~ those dates
2 until paid.

3 (7) All taxes due and payable under this section shall be a lien on all
4 property, real and personal, of the rate-regulated electric utility com-
5 pany, rate-regulated affiliated gas company, or rate-regulated gas company
6 as of ~~June 30 of each year~~ the due dates provided in subsection (1) of this
7 section and shall be discharged only by the payment thereof. In any action to
8 enforce payment of any delinquent taxes due under this section, the county
9 pursuing such action shall be entitled to a judgment for the reasonable costs
10 of prosecuting such action, as well as for the delinquent taxes, penalty, and
11 interest.

12 (8) If a rate-regulated electric utility, rate-regulated affiliated
13 gas company, or rate-regulated gas company fails to file the statement of
14 kilowatt-hours or therms sold in Idaho required pursuant to subsection (1)
15 of this section, the state tax commission shall use the best available infor-
16 mation to determine the kilowatt-hours or therms sold in Idaho.

17 (9) There is hereby created in the state treasury the rate-regulated
18 tax fund. The fund shall consist of all moneys received by the state tax com-
19 mission pursuant to this section, which shall be deposited into the fund, and
20 such other moneys that may be provided by legislative appropriation. Moneys
21 in the fund are hereby continuously appropriated for disbursement to the ap-
22 propriate county treasurer as provided in this section.

23 SECTION 4. An emergency existing therefor, which emergency is hereby
24 declared to exist, this act shall be in full force and effect on and after its
25 passage and approval, and retroactively to January 1, 2026.